

**Before the
Federal Maritime Commission**

Docket No. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.

v.

COSCO SHIPPING LINES CO., LTD.,

v.

**SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDSAP GLOBAL SCL ASIA
PACIFIC PTE LTD., AND SAMSUNG ELECTRONICS LOGITECH COMPANY,
LIMITED**

**COSCO'S OPPOSITION TO SAMSUNG ELECTRONICS LOGITECH COMPANY,
LTD.'S MOTION TO DISMISS THIRD-PARTY COMPLAINT**

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Respondent and Third-Party Complainant COSCO Shipping Lines Co., Ltd., (“COSCO”) respectfully submits this response to the motion (“Motion”) of Third-Party Respondent Samsung Electronics Logitech Co., Ltd. (“Logitech”), to dismiss COSCO’s Third-Party Complaint (“TPC”).

INTRODUCTION

COSCO’s TPC alleges that Logitech, its parent co-Respondent Samsung Electronics Company, Ltd. (“SEC”), and its affiliate co-Respondent Samsung SDS Global SCL Asia Pacific PTE Ltd. (“SDSAP”), in concert with Complainant and Counterclaim Respondent Samsung Electronics America, Inc. (“SEA”) (collectively, the “Samsung entities”), violated 46 U.S.C. § 41102(a) by knowingly and willfully, by an unjust device or means, obtaining or attempting to obtain ocean transportation of property at less than the rates or charges otherwise applicable. In its TPC, COSCO alleges the Samsung entities employed two separate unfair and unjust means or devices. First, to obtain lower ocean **transportation rates** than COSCO otherwise would have offered, the Samsung entities induced COSCO to enter into Service Contracts providing for below-market ocean freight rates, extended demurrage free time, and other favorable terms unavailable to other shippers by agreeing to facially indisputable provisions of the Service Contracts which placed the risks of additional delays on Logitech, while concealing their intention to dishonor those provisions. Second, the Samsung entities attempted and continued to attempt to strongarm COSCO into waiving or refunding **demurrage and detention** charges that had been properly assessed by COSCO and by refusing to pay over \$4 million of lawfully-assessed charges that the Samsung entities knew they were legally obligated to pay. At trial, COSCO seeks reparations, including:

- (1) the difference between the transportation rates set forth in the Service Contracts and paid by the Samsung entities and the transportation rates that otherwise would have been charged but for the Third-Party Respondents’ wrongful conduct; and

(2) the outstanding amount of detention and demurrage charges lawfully assessed by COSCO but not paid by the Samsung entities.

Logitech was a signatory to two of the Service Contracts specified in the TPC (co-Respondent SDSAP was a signatory to two others), and its motion to dismiss is nearly identical to the dismissal motion filed by SEC and SDS. As set forth in COSCO's oppositions to the SEC and SDS motions (Doc. Nos. 69, 72), the TPC sets forth a plausible claim for relief against the Third-Party Respondents. To avoid burdening the Presiding Officer with unnecessary repetition, COSCO respectfully incorporates by reference its oppositions to those motions to dismiss. *See* COSCO's Opp'n to SDSAP Mot. to Dismiss Third-Party Compl. (Doc. No. 69), COSCO's Opp'n to Samsung Elec. Co., Ltd.'s Mot. to Dismiss Third-Party Compl. (Doc. No. 72). COSCO writes to focus on certain facts applicable to Logitech, and to briefly emphasize a few points.

ARGUMENT

I. COSCO Alleges that Logitech was a Full Participant in the Third-Party Respondents' Shipping Act Violation.

Contrary to Logitech's suggestion, COSCO alleges in its TPC that Logitech was a full participant in the Third-Party Respondents' violation of the Shipping Act. Upon instruction from its parent, SEC, and in coordination with SEA, Logitech participated in negotiating the Service Contracts integral to COSCO's claims and was the signatory to two of those Service Contracts. TPC ¶¶ 13, 14, 65(a). By their terms, those Service Contracts, which were duly filed with the Commission, *id.* ¶15, bound not just Logitech, but numerous "affiliates," including, but not limited to, SEC and SEA, and set rates for the combined ocean and inland transportation of SEC's products from Asia to SEA's warehouses and SEA's customer's locations in the United States. TPC ¶¶ 14, 20. Furthermore, Logitech was jointly and severally liable for the Samsung entities' actions and obligations under the Service Contracts. *Id.* ¶ 14.

As COSCO alleged in the TPC, Logitech, its co-Respondents, and SEA knowingly and willfully induced COSCO to enter Service Contracts in 2021 and 2022 under which the Samsung entities agreed to accept financial responsibility for delays they caused—including those incurred by their CNTs—in return for receiving lower freight rates and more favorable assessorial charges, and terms and conditions than COSCO otherwise would have agreed to and charged. TPC ¶¶ 45-48, 65-66. The Third-Party Respondents concealed their disagreement with the terms of the Service Contracts providing for their responsibility for delays and their intent to dishonor them. As a result, the Third-Party Respondents, and their agents, affiliates, and consignees (including SEA) attempted to and obtained ocean transportation from COSCO at less than applicable rates and charges. *Id.* ¶ 67.¹

II. The November 26, 2025 Dismissal Order in *SEA v. OOCL* Does Not Support Dismissal of the TPC.

Logitech may argue in reply that the November 26, 2025 Order in *SEA v. OOCL* dictates that COSCO's TPC should be dismissed. *Samsung Elec. America, Inc. v. Orient Overseas Container Line Ltd. et al.*, Dkt No. 24-17 (Order Granting Complainant's Mot. to Dismiss Respondents' Am. Counterclaim and Third-Party Respondent's Am. Mot. to Dismiss the Am.

¹ Third-Party Respondents SEC's and SDSAP's reliance (and any reliance by Logitech) on *Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, Dkt. No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015), for the contention that the TPC fails to provide "some combination of the who, what, when, where, and how" is misplaced. *See id.* at *14; SDSAP Reply to Resp.'s Opp'n to Mot. to Dismiss Third-Party Compl. (Doc. No. 71 at 5-6) and SEC Reply to Resp.'s Opp'n to Mot. to Dismiss Third-Party Compl. (Doc. No. 73 at 6-7). *Maher Terminals*, 2015 WL 9426189 at *14. And "some combination of" does not mean "all." Here, COSCO alleges the who (the Third-Party Respondents and SEA), the when (the negotiation and making of the 2021 and 2022 Service Contracts, the shipments under those Service Contracts, and SEA's later revelation of its intent to not follow the Service Contracts), and how (concealment, followed by accepting the benefits of the service contracts, and refusing to honor their provisions for responsibility for delays), and adds the why---to obtain lower ocean freight rates than the Samsung entities otherwise would obtain. TPC ¶¶ 9-13, 48, and 59.

Third-Party Compl.) (Doc. No. 98) (FMC Nov. 26, 2025). The November 26, 2025 Order in *OOCL* is not a final decision of the Commission and is subject to appeal. But more importantly, nothing in that order supports dismissal here.

In *OOCL*, the ALJ held that dismissal was required because the respondent's claims were "predicated on the assumption that a fee dispute exists, and that [the third-party complainant] *OOCL* will prevail in that dispute." Order at 2; *see also id.* at 10 ("OOCL's allegations turn on a fee dispute, and turn on the assumption that SEA's claims are baseless."). And according to the ALJ, that assumption was established by *OOCL*'s reparations claim:

OOCL does not seek reparations in [sic] for the difference between ocean transport at spot rates versus shipping contract rates. Instead, *OOCL* seeks \$14.3 million in reparations, as those are the "damages in the amount alleged in the Amended Verified Complaint[.]" (ATPC, at ¶ 88). Restated, *OOCL* alleges that it seeks reparations based on the amount sought by SEA in the facially-valid VAC.

Id. at 10; *accord id.* at 12. But the ALJ's rationale does not apply here.

COSCO does not seek "damages in the amount alleged in the Amended Verified Complaint." *See* TPC VII.B. & C. Rather, COSCO seeks reparations that the *SEA v. OOCL* ALJ said *OOCL* did not: the difference between 1) what SEA or other Samsung entities would have had to pay COSCO for ocean transport but for their wrongfully inducing COSCO to enter below-market rate Service Contracts, and 2) the ocean freight rates the SEA entities paid under those Service Contracts. Furthermore, and again unlike *OOCL*, COSCO seeks an order requiring the Samsung entities to pay outstanding detention and demurrage charges that were properly assessed against them by COSCO.

Moreover, COSCO's ocean transportation rate claim does not depend in any sense on COSCO succeeding on all—or any—of SEA's claims for wrongfully imposed demurrage and detention charges. SEA alleges that it paid 22,000 detention, demurrage, and associated charges.

Verified Am. Compl. ¶ 40. SEA bears the burden of establishing on a case-by-case basis the unreasonableness of each delay charge of which it complains.² Even if, hypothetically, SEA meets its burden on some or all of the delay charges, that would not vitiate COSCO's claim that the Samsung entities wrongfully induced COSCO to agree to lower rates than it otherwise would have charged by concealing their disagreement with the provisions in the Service Contracts concerning responsibility for delays and the Samsung entities' intent not to honor those provisions. COSCO's ocean freight rates claim is independent of SEA's claims against COSCO.

III. COSCO is Entitled to Amend the TPC if Necessary.

Even if the allegations of the Third-Party Complaint were somehow found deficient, it would be necessary for the Presiding Officer to allow COSCO an opportunity to amend its TPC, just as SEA was allowed to amend its defective Complaint. As the Commission has explained:

Although the ALJ may in [their] discretion dismiss a [pleading] without leave to amend, the Commission typically allows amendments liberally.... This approach is similar to that taken by federal courts, which usually allow leave to replead after granting a motion to dismiss.... Generally, where a more carefully drafted complaint might state a claim, a plaintiff must be provided with at least one opportunity to amend before the court dismissed with prejudice.... The standards for dismissing a complaint with prejudice is high.

Maher Terminals, 2015 WL 9426189 at *39 (citations and internal quotation marks omitted).³

² See, e.g., *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, (Initial Decision) (Doc. No. 146 at 50-51) (FMC May 28, 2025) (container by container analysis); *Samsung Electronics America, Inc. v. Zim Integrated Shipping Servs. Ltd.*, Dkt. No. 22-30 (Initial Decision) (Doc. No. 60 at 2) (FMC Apr. 22, 2025) (requiring "cause of delay for each container"); see also *TCW, Inc. v. Evergreen Shipping Agency (America) Corp. et al.*, Dkt. No. 1966(I), 2025 WL 516256, at *11 (Order on Remand) (FMC March 12, 2025) ("It is necessary to make a case-by-case determination as to the reasonableness of challenged demurrage and detention practices, examining alleged extenuating circumstances....").

³ 5B Charles Alan Wright & Arthur R. Miller, *Fed. Prac. & Proc. Civ.* § 1357 (4th ed.), is instructive: "[F]ederal policy... requires that the plaintiff be given every opportunity to cure a formal defect.... This is true even when the district judge doubts that the plaintiff will be able to

In *Maher*, the Commission upheld the dismissal with prejudice of some claims, while reversing the dismissal of others, saying:

The ALJ's conclusion that amendment would be futile, however, is unsupported. The ALJ did not explain why it would be futile for Maher to amend its complaint nor find that the allegation of other facts consistent with the challenged proceeding could not possibly cure the deficiency. There is no reason to believe that, if granted leave to amend, Maher could not cure some of the complaint's deficiencies.

Id. at *40 (citation and internal quotation marks omitted).

Although COSCO submits that it properly states a claim in the TPC, if the Presiding Officer holds otherwise, COSCO should be given the opportunity to replead and correct any deficiencies. That is consistent with FMC precedent, including the Commission's decision in *SEA v. OOCL*, which held that the ALJ erred in not permitting OOCL an opportunity to amend its dismissed complaint.⁴ *Samsung Elec. America, Inc. v. Orient Overseas Container Line Ltd. et al.*, Dkt. 24-17, 2025 WL 2207363, at *11 (FMC July 30, 2025).

CONCLUSION

For the foregoing reasons, Logitech's Motion should be denied in its entirety.

overcome the shortcomings in the initial pleading. Thus, the cases make it clear that leave to amend the complaint should be refused only if there is no basis for concluding that the plaintiff can state a claim and thus permitting an amendment would be futile."

⁴ The Commission's Administrative Law Judges have liberally allowed leave to amend pleadings. *See, e.g., Kanu v. Ejike Dickson Eze*, Dkt. No. 25-05 (Order requiring complainant to file a motion for leave to amend and proposed amended complaint) (Doc. No. 16) (FMC May 28, 2025); *Simple Forwarding, Inc. v. China United Lines Ltd. and Norton Lilly Int'l*, Dkt. No. 2010(F), 2025 WL 90154, at *3-4 (ALJ Order granting claimant's motion for leave to amend complaint (FMC Jan. 3, 2025); *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Dkt. No. 24-10, (Order Granting Motion for Leave to File an Amended Complaint) (Doc. No. 14) (FMC Oct. 4, 2024); *D.F. Young, Inc. v. Wallenius Wilhelmsen Logistics*, Dkt. No. 23-14, 2024 WL 402469, at *2 (ALJ Order Granting Leave to Amend Complaint) (FMC January 23, 2024); *CCMA LLC v. Maersk A/S*, Dkt. No. 22-01, 2022 WL 458571, at *2 (ALJ Order Granting Motion to Amend Complaint) (Feb. 7, 2022); *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 21-05, 2022 WL 458569, at *2 (ALJ Order on Motion to Amend Complaint) (FMC Feb. 4, 2022).

Dated: December 1, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 1st day of December, 2025, a true and correct copy of the foregoing Respondent's Response to Third-Party Respondent's Motion to Dismiss Third-Party Complaint was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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